The investor due-diligence checklist

A compact checklist for source quality, business evidence, governance and investment fraud.

PDF COLLECTION | ALL LEVELS

01 / Check the source and intermediary

Start with official company disclosures, exchange filings and regulator websites. Verify registration through the regulator's own records rather than a screenshot supplied by the person selling a product.

Be cautious with urgency, guaranteed high returns, private app downloads and requests to pay into unrelated personal accounts. Never share OTPs, credentials or remote access to your financial accounts.

- Official URL and document date recorded.
- Intermediary's registration checked independently.
- Payment recipient and account details verified.

02 / Check the business evidence

Explain the business model and compare multi-year financial statements. Note whether income is supported by cash generation, whether debt is manageable and whether the information is complete enough to form a view.

Read the auditor's report and relevant notes. A missing disclosure is an uncertainty to record, not an invitation to invent a figure.

- Revenue drivers and major risks.
- Profit compared with operating cash flow.
- Debt maturities, liquidity and contingent liabilities.
- Related-party transactions and audit qualifications.

03 / Check price and suitability separately

A good business can be an unsuitable investment at a given price or for a given goal. Record the assumptions behind any valuation range and test less favourable scenarios.

Check whether the proposed position adds concentration and whether you may need the money before the thesis can play out. A persuasive story does not replace a risk plan.

04 / Check the downside story

Write the strongest evidence against your idea. Consider competition, regulation, customer concentration, refinancing and operational disruption. Decide what you still need to learn before proceeding.

MAKE IT PRACTICAL
Three reasons the thesis could be wrong | evidence that would reveal each problem | action if that evidence appears.

05 / Keep an evidence trail

Save the source links, reporting periods and calculations that informed the decision. Reassess when relevant new evidence appears. Educational checklists cannot prevent every loss or detect every fraud.

MAKE IT PRACTICAL
Decision date | source documents | unresolved questions | position limit | review trigger | person consulted where appropriate.

Sources and further reading

Original educational guide. Examples are hypothetical; this is not personalised investment advice or a promise of returns. Free download for personal study.

SEBI Investor: https://investor.sebi.gov.in/
SEBI due diligence: https://investor.sebi.gov.in/due_diligence.html
Zerodha Varsity modules: https://zerodha.com/varsity/modules/
External references for further learning; their material is not reproduced here.